

SLI pitch deck

PITCH — SLI — PROPOSED VERDICT

PROPOSED — PENDING ADJUDICATION: NO ENTRY at \$2.38. Even a fully funded project is only worth about today's share price at today's lithium price, so the financing news everyone is waiting for cannot, by itself, create upside. Stay out; reopen only on the joint trigger in the entry-bands section.

What we believe

Standard Lithium is a real company with a real project. It plans to extract lithium from brine in southwest Arkansas with Equinor as a 45% partner, has a completed definitive feasibility study (a bankable engineering estimate: \$1.45 billion to build, including a 12.3% contingency cushion, producing 22,500 tonnes per year for 20 years at a cash cost of \$5,924 per tonne), a \$225 million U.S. Department of Energy grant, and one signed customer (Trafigura). None of that is in dispute.

What we believe, after two adversarial reviews, is that the stock is a trap dressed as a turnaround, for three reasons:

- 1. The balance sheet is fully spent, not comfortable.** The company holds \$137.3 million in cash, but that cash is budgeted to fund roughly \$36 million of spending per half-year through June 30, 2027. By the time the final go-ahead decision ("FID") arrives — targeted for year-end 2026 — about \$100 million remains free. The equity check due at that decision is roughly \$69 million in the base case, but any shortfall in the planned \$1.1 billion of project debt lands on the company, and the only backstop is selling new shares.
- 2. The company is already selling those shares.** On August 11, 2026 — one day after reporting the quarter in which the FID timeline slipped — it registered a new \$50 million at-the-market share-sale program while \$13.99 million of the previous program was still unused ([prospectus supplement](#)). Selling the full ~\$64 million near the current price means issuing about 27.5 million new shares — 11.2% dilution on the 246.4 million outstanding. Last year the same program sold shares at an average of \$4.01–\$4.12; the same dollars now cost roughly 1.7× as many shares.
- 3. Lithium, not financing, caps the upside.** This is the decisive finding. Pricing the project as if fully funded, across lithium prices (blue bench's table, using the feasibility study's stated sensitivity, an estimated ~25% tax haircut, the ~\$100 million of cash, and 246.4 million shares):

Lithium carbonate price	Fully-funded value per share	vs. today's \$2.38
Spot, ~\$18,160/t (falling)	~\$2.03	below the current price
Study's assumption, \$22,400/t	~\$3.25	+37%
\$26,000/t	~\$4.35	+83%

At today's lithium price, a signed debt package would fund a project worth *less than the current market cap*. The stock only offers a worthwhile (+50%) prize above roughly \$23,500 per tonne — and lithium

has been falling since February, sitting at a six-month low.

What the market believes

The stock is down 63% from its 52-week high of \$6.40 and has bounced 25% off its \$1.91 low. The market is pricing genuine doubt about whether the project gets financed and built: the final investment decision has slipped within 2026, no second customer agreement has been filed since March 9, and the debt package exists only as “indications of interest” mentioned on a conference call — the audited management discussion filed with the SEC says only that financing must still be secured ([the filed version](#)). Bulls are waiting for a debt announcement or a second offtake customer to re-rate the stock.

Why we might have edge

- **The prize-table insight.** Most observers — including our own first-draft analysis — frame this as “financing risk: if the debt closes, the stock re-rates.” The math says otherwise: at spot lithium, closing the debt funds a project worth about the current price. The event everyone is watching is not an entry signal. Knowing which catalyst *doesn't* matter is the edge here.
- **The share-sale tell.** Filing a new \$50 million share-sale program before exhausting the old one, one day after disclosing a timeline slip, is a pattern worth cataloging: management is choosing continuous dilution near the lows rather than waiting for the repair catalyst it is guiding investors toward. Both benches endorsed this as a reusable warning sign.
- **The venue check.** The bullish specifics (an “~80% offtake target,” debt “indications of interest”) live only in the call transcript. The filed documents are silent. When the vetted document and the spoken pitch diverge, the filed document wins.

Why it might be priced in

Honestly, largely because it is. At \$2.38 the market is paying roughly the fully-funded value at spot lithium — which is a coherent price, not an obvious mistake. Our contribution is defensive: we are not claiming the stock is wildly overvalued (red bench explicitly found no fatal flaw and put conviction at 7/10 on the corrections, not on a short case). The Equinor terms are public and mildly supportive — \$30 million already paid, a \$33 million spending carry, and up to \$70 million more payable to Standard Lithium if final investment decisions are taken ([Equinor announcement](#)). If lithium recovers and the debt closes, the upside table above is real. We simply are not paid to wait for both while a disclosed share-seller leans on every rally.

What we checked ourselves

Claim	How checked	Found	Confirmed?
“\$137.3M cash plus the \$64M share-sale program covers the ~\$96M equity check with headroom” (our own draft’s comfort math)	Filed management discussion, pulled from SEC directly	Double-count: the cash also funds ~\$36M/half-year of operating burn through June 2027; ~\$100M is free at decision time, and the “headroom” is 11.2% dilution	No — our own benchmarked; corrected
“\$1.5B is base capex, excluding an unquantified contingency” (our draft’s caveat)	The feasibility-study filing announcement (primary)	The study is \$1.45B all-in, including a 12.3% contingency . Our bench wrote the caveat without reading the study. Corrected equity check: \$1.45B – \$1.1B debt – \$225M grant = \$125M; company’s 55% ≈ \$69M , below our draft’s \$96M	No — bench fabricated the caveat; corrected (in the stock’s favor)
“Equinor earn-in terms are undisclosed/unknowable” (our draft)	Equinor’s own press release	Terms are fully public, including up to \$70M payable on investment decisions (aggregate across projects; per-project split genuinely undisclosed)	No — bench missed a public document; corrected
“~80% offtake target; debt at indications of interest”	Compared call transcript against the filed management discussion	Exists only in the transcript; filings are silent; no customer-agreement filing since 2026-03-09	Unconfirmed — transcript-only
“Lithium price has recovered”	Current pricing data	~\$18,160/t — above the 2025 trough but a six-month low, falling since February, exactly when lenders set their price assumptions	Partially — level yes, direction no
Value-if-funded across lithium prices (the “prize table”)	Built by blue bench from the feasibility study’s stated \$1.7B pre-tax NPV and sensitivity (study results)	Funded value at spot ≈ \$2.03/share, below the tape. Both benches initially skipped this mandated step ; it ended up being the decisive finding	Yes
New share-sale program stacked on the old one	SEC prospectus supplement, 2026-08-11	\$50M new program with \$13.99M of the prior one unused, filed one day after the timeline-slip earnings report; prior-year sales averaged \$4.01–\$4.12 vs. ~\$2.33 now	Yes
Price anchor, bounce, and crowding on the broker tape	Interactive Brokers lookup	Permission denied — third consecutive session	No — unverified; tooling gap

PROPOSED ENTRY BANDS

No entry at any price today. The courts converged on flat, so these are the **reopen bands** — conditions under which the case gets re-heard, not standing buy orders:

- **Joint reopen trigger (both required):** (a) a signed, committed project-debt package of at least \$1.0 billion disclosed in an actual SEC filing — not a transcript mention; **and** (b) lithium carbonate sustained at roughly **\$23,000/t or above**. Either alone is insufficient: debt without the lithium price funds a project worth about today’s stock price; a lithium rally without committed debt still faces the \$69M+ equity check and the active share-sale program.

- **Alternative single triggers (either reopens on its own):** a second offtake agreement disclosed by filing, or filed confirmation that the up-to-\$70M Equinor milestone payment is tied to this specific project. Both improve the prize rather than just the funding path.
- **Reference values if reopened:** fully-funded value $\approx$ \$3.25/share at \$22,400/t lithium and $\approx$ \$4.35 at \$26,000/t. A reopened court should demand entry at a meaningful discount to the funded value at the *then-current* lithium price, net of whatever dilution the share program has realized by then.
- **Explicitly not a buy level:** \$1.91 (the 52-week low). A break below it while the share-sale program is active means dilution math is worsening — it is a warning, not a bargain.
- **Sizing:** 0% now. If reopened, sizing is set by the re-court; nothing here pre-commits capital.
- **Catalyst dates:** ~2026-09-30 (company-guided window for additional offtake agreements — transcript guidance, unconfirmed); ~2026-11-05 (next earnings, data-vendor-derived, unconfirmed); 2026-12-31 (year-end target for the final investment decision — passing without one starts binding the June 2027 cash runway).

ARMED SENSORS

(armed provisionally with this deck; session adjudication ratifies)

- price alert: fires below 1.91 (deck-provisional: new 52-week low while the at-the-market share-sale program is actively selling - dilution math worsens)
- filing watch: 6-K,SUPPL,FWP until 2027-02-11 (deck-provisional: signed project-debt commitment $\geq$ \$1.0B, a second offtake agreement, or Equinor \$70M milestone bound to)
- dated pack SLI|2026-09-30: SLI: fiscal Q3 end — company-guided window for additional offtake agreements (guidance from call transcript, not a vetted filing) (date conf)
- dated pack SLI|2026-11-05: SLI: next earnings report (data-vendor derived; no company announcement names it) (date confirmed=False)
- dated pack SLI|2026-12-31: SLI: year-end target for the final investment decision; passing without one starts binding the June-2027 cash runway (date confirmed=False)

What remains unverified

- The “~80% offtake target” and debt “indications of interest” — spoken on a call, absent from every filed document.
- How much of Equinor’s up-to-\$70M milestone payment attaches to this project versus the other (the aggregate is public; the split is not).
- The 2026-11-05 earnings date and the 2026-09-30 offtake window (neither named by the company in a filing).
- The price assumptions lenders will actually use — the feasibility study assumes \$22,400/t, 23% above spot; lender decks are typically tighter, which sizes any debt shortfall.

- The broker tape (price anchor, bounce, crowding) — permission denied three sessions running; the \$6.40/\$1.91 anchors rest on vendor data.
- Blue bench's prize-table inputs are estimates, not filings: the ~25% tax haircut and the ~\$0.18B-per-\$1,000/t sensitivity. Directionally robust, but a reopened court should rebuild them from the study's own tables.

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